8 March 2024

Research Briefing | UK

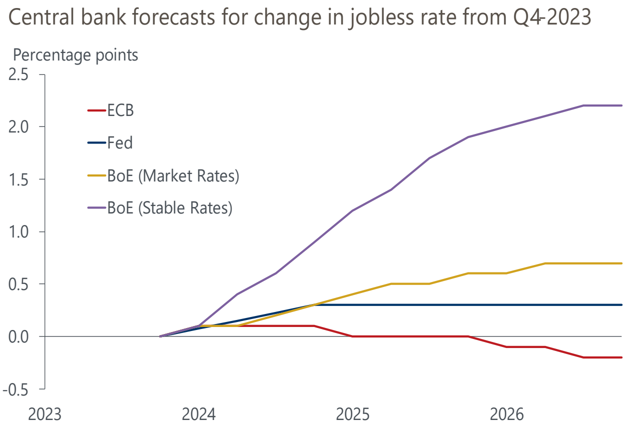
Is 'immaculate disinflation' likely?

- **The Federal Reserve and European Central Bank now expect inflation will return sustainably to target without a significant rise in unemployment – so-called 'immaculate disinflation'. By contrast, the Bank of England still project that the return of inflation to target is likely to be accompanied by a significant and persistent rise in unemployment, a more painful disinflation path.**
- **In our view, the BoE's Monetary Policy Committee is overly pessimistic on the prospective trade-off between unemployment and inflation in the UK. Similar to the US and the eurozone, we expect UK inflation will return to target this year and next, and pay growth will slow to a target-consistent pace next year even without a major rise in unemployment.**
- **Like the US and eurozone, recent strength in UK pay growth appears to mainly reflect excess labour demand – evident in very high vacancies – and elevated inflation expectations rather than overly low unemployment. These second-round effects have been greater in the UK. But as the strength in vacancies and inflation expectations has unwound, pay growth has slowed in the US and eurozone, and a similar process appears to be underway in the UK.**
- **We wouldn't rule out a slight rise in unemployment if, as seems likely, UK economic growth is sluggish this year, producing a modest output gap. But this would add to downward pressure on pay growth, reinforcing the case for MPC easing and hence preventing the large and sustained rise in unemployment it envisages. The key point is that, barring a fresh adverse supply shock, disinflation in the UK seems likely to be less painful than the BoE's forecasts imply.**

In the US and eurozone, previous worries that a sustained return of inflation to target would be accompanied by a significant rise in unemployment have now faded. The European Central Bank projects that inflation will be very close to the 2% target from the middle of this year with little change in unemployment, while the US Federal Reserve now projects only a small rise in the jobless rate (from just below 4% in recent months to 4.1% in Q4 this year). Consensus views are similar. In fact, 'immaculate disinflation', whereby inflation returns sustainably to target without a significant rise in unemployment, has become the base case.

By contrast, the Bank of England's Monetary Policy Committee still expects that the return of inflation to target in the UK will be accompanied by a significant and persistent rise in unemployment. But why is the UK so different? is immaculate disinflation not possible here too?

Chart 1: In contrast to the US and eurozone, the BoE expects a significant rise in unemployment



Sources: Oxford Economics/Haver Analytics

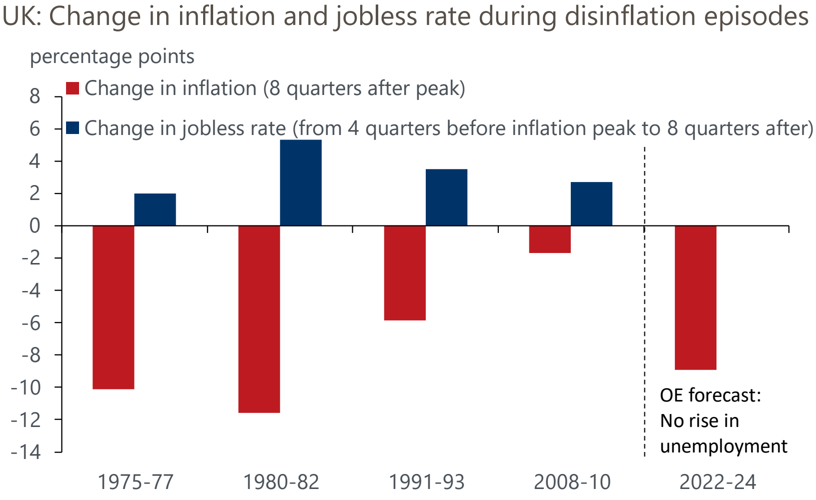
Michael Saunders - Senior Economic Advisor - msaunders@oxfordeconomics.com

Relatively immaculate disinflation seems to be underway in the US and eurozone

In the UK, like other advanced economies, most episodes of meaningful disinflation – when inflation is brought down to target – are painful, with a significant rise in unemployment.

In many of those episodes, excess demand played the main role in lifting inflation and pay growth. Given the limits on expanding supply quickly, disinflation in those cases required policymakers to reduce demand, hence leading to significantly higher unemployment. Rising unemployment was an inevitable and central part of the route back to low inflation, with the surplus of available workers acting to dampen pay growth and (by creating fears of further weakness in demand) constraining firms' pricing strategies. It's unlikely that disinflation could have occurred in those episodes without a significant rise in unemployment.

Chart 2: Previous significant declines in inflation have been accompanied by rising unemployment



Source: Oxford Economics / Haver Analytics

The 2021-2023 inflation surge across advanced economies was different because it mainly reflected [adverse supply shocks](), rather than strong aggregate demand. External supply constraints pushed up prices of global traded goods, energy, and food. Internal supply shocks related to the after-effects of the pandemic also featured – for example, labour supply was constrained by the need to reallocate workers to meet shifts in the mix of demand and in some countries also by lower workforce participation. In turn, higher inflation created second-round effects on pay growth and firms' pricing strategies through higher inflation expectations and a desire to rebuild real incomes, which further fuelled the strength and persistence of the inflation overshoot.

And where there was excess demand and a positive output gap – notably in the US and UK – this was reflected more in the very high level of job vacancies and high quits rate, rather than the jobless rate being a long way below its medium-term equilibrium. In effect, the labour markets in major advanced economies were on the more vertical parts of the Phillips curve, which relates pay to unemployment. Excess labour demand was reflected in high vacancies and strong wage growth as firms scrambled, but often failed, to find enough staff, while the jobless rate, which was already close to its feasible lows, did not fall further. For example, the vacancy rate (i.e., vacancies as a percentage of employment) in late 2021 and early 2022 was about 60% above the 2019 average in the US and UK, and 40% above it in the eurozone.

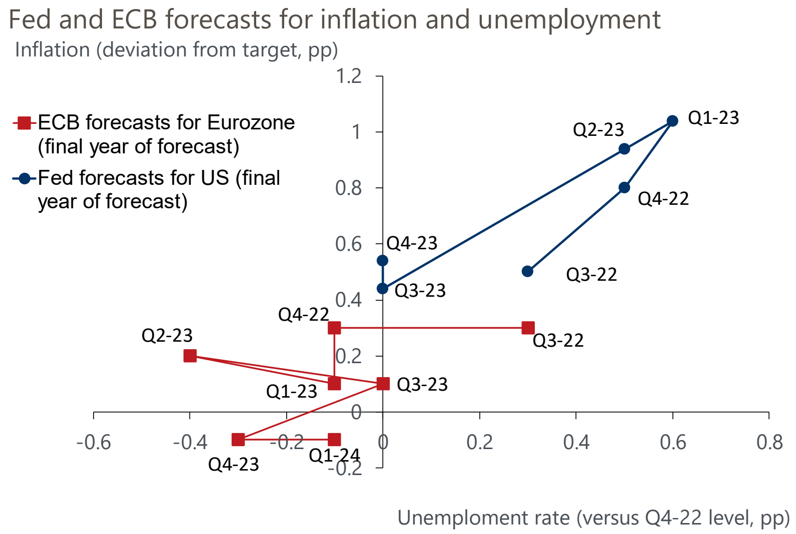
Even though inflation's origins in this cycle were unusual, a few quarters ago most central banks, including the Fed, ECB, and BoE, expected that the route back to sustained low inflation would involve a significant rise in unemployment. For example, in September 2022, the ECB projected that eurozone inflation would stay above target (at 2.3%) in 2024 even with the jobless rate rising from 6.7% in 2022 to 7.0% in 2024. Likewise, in December 2022, the Fed projected that core PCE inflation would be close to 2% in 2025 (2.1%), but that the jobless rate would rise from 3.8% in 2022 to 4.5% in 2025.

From December 2022 to June 2023, the Fed's forecasts continued to show inflation close to target at the end of the forecast, but with unemployment above its long-run level and well above its Q4 2022 level.

Conversely, the ECB's forecasts showed a smaller (or no) rise in unemployment, but it also projected that inflation would remain slightly above the 2% target in the last year of the forecast. So in both cases they implied a relatively painful trade-off between unemployment and inflation.

These forecasts of persistent higher unemployment and/or above-target inflation partly reflected expectations that the various adverse supply shocks – both internal and external – would continue for some time. That scenario would imply a more persistent inflation overshoot and hence increase risks of lasting second-round effects through elevated inflation expectations and real wage catch-up. And policymakers also worried that the tightness of labour markets could only be reversed through higher unemployment. Both channels implied that central banks would have to keep rates high for longer, restraining the economy enough to cause a sustained rise in unemployment. In effect, the series of large persistent supply shocks would worsen the trade-off between unemployment and inflation.

Chart 3: Fed and ECB more optimistic on the prospective inflation/unemployment trade-off



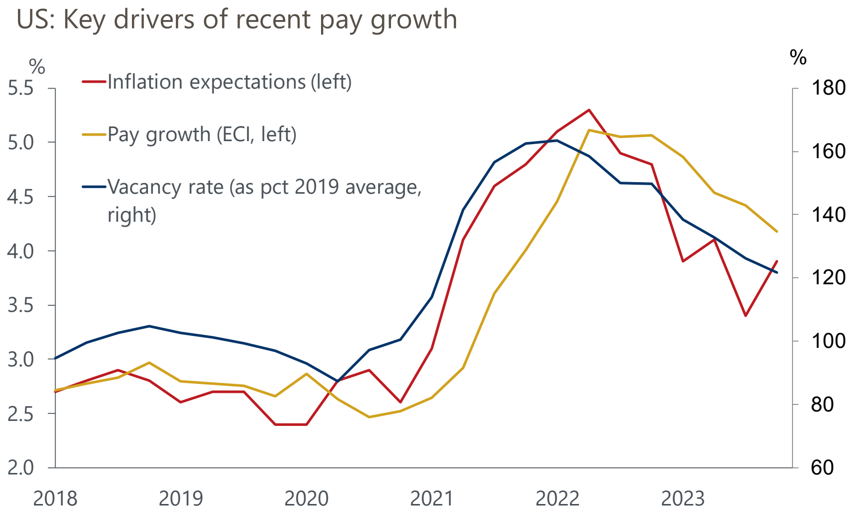
Sources: Oxford Economics/ECB/Federal Reserve

In practice, however, the cost of disinflation in terms of higher unemployment has been negligible so far. Inflation has fallen faster than central banks previously expected, even with unemployment at or near historic lows.

This shift towards immaculate disinflation partly reflects the speed at which the various adverse supply shocks and supply constraints have unwound in recent quarters. Global supply chain pressures normalised through last year. European wholesale gas prices and global agricultural commodity prices are roughly back to their H1 2021 levels – i.e., before their war-related spikes. All this has helped and will continue to help reduce inflation across advanced economies.

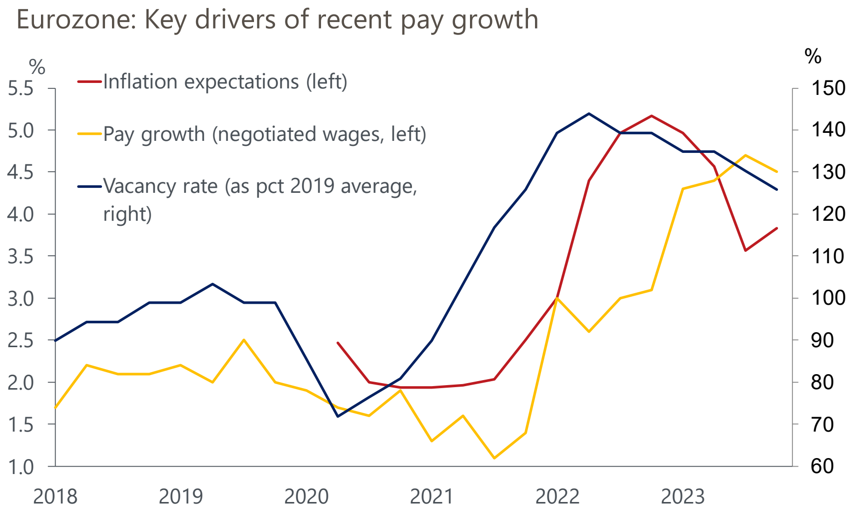
The more benign inflation/unemployment trade-off also reflects reduced risks of persistent second-round effects. This is partly because lower headline inflation (as energy, food, and goods price inflation weakens) and tighter monetary policy are helping dampen inflation expectations, which are close to 2019 levels in the US and early 2020 levels in the eurozone. It's also because of evidence that, as inflation expectations fall and excess labour demand fades, pay growth is slowing even without significantly higher unemployment. Participation has recovered in the US, labour reallocation has proceeded, and rate hikes have limited firms' expansion plans.

Chart 4: Lower vacancies and inflation expectations are helping to slow US pay growth...



Sources: Oxford Economics/Haver Analytics

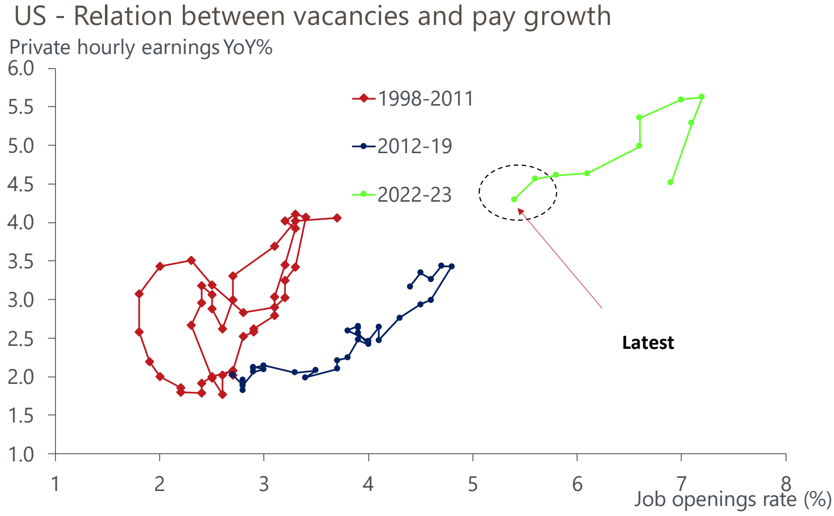
Chart 5: ...and it's a similar story in the eurozone



Sources: Oxford Economics/Haver Analytics

In the US, the roughly linear relation between vacancies and pay has remained intact, with both series falling back towards their 2019 averages. Recent pay growth in the US (4%-4.5% y/y versus 5.6% y/y in early 2022) probably is close to a target-consistent pace. The latest official data for eurozone pay growth (4.5% growth in negotiated wages in Q4 2023 versus 4.7% in Q3) are still a little above the ECB's comfort level. Still, more timely indicators, such as the Indeed wage tracker and our own survey of labour market sentiment, suggest that pay growth in early 2024 is around 4%. Similarly, ECB Chief Economist Philip Lane has noted that the ECB's own survey of firms shows lower pay growth in early 2024.

Chart 6: In the US, vacancies and pay growth are falling together



Source: Oxford Economics

Looking ahead, pay growth is likely to slow further in both the US and eurozone over the coming year or so. This reflects effects from lower inflation expectations (driven by lower headline inflation) and a further decline in job vacancies (reflecting modest growth), consistent with a roughly zero output gap in the US and only a modest output gap in the eurozone.

Moreover, in both the US and eurozone, the decline in the labour share of GDP (mirrored by a rise in the profit share) since 2019 creates a buffer whereby – with demand restrained by tight monetary policy – some modest upside in pay growth could be absorbed by a squeeze on margins rather than passed on to prices.

Both the ECB and Fed now expect that inflation's return to target will be accompanied by little or no sustained rise in unemployment – our forecasts are similar for the eurozone and US. In Chart 3 above, their forecasts have moved away from the top right quadrant (higher unemployment and above-target inflation) towards the origin (no change in unemployment and inflation on target) or even, for the eurozone, to the bottom left quadrant (lower unemployment and below-target inflation). In other words, a relatively and, given the shocks of recent years, surprisingly immaculate disinflation now seems likely.

Could something similar also happen in the UK?

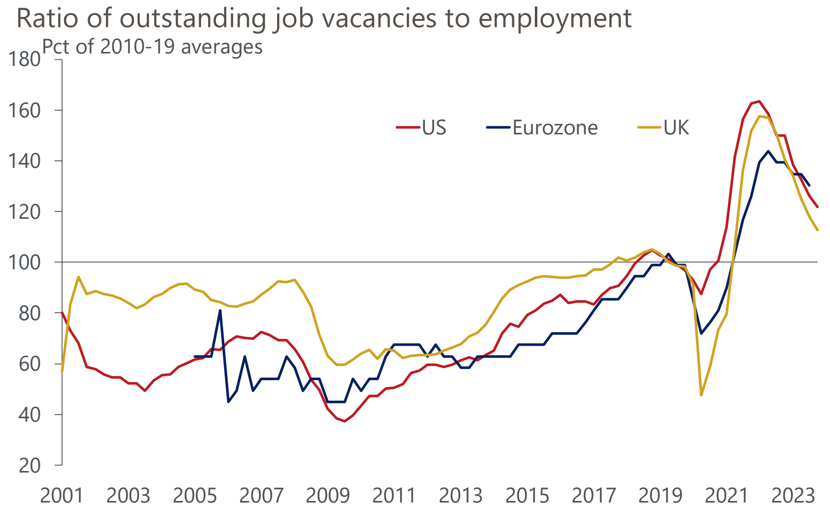
The BoE's view, outlined in the February Monetary Policy Report, is that inflation's return to target will be more painful than the equivalent central bank forecasts for the US and eurozone. The MPC's forecast with market rates is that the jobless rate will rise to about 5% two and three years ahead (versus their estimate of 4.3% in Q4 2023), while their forecast with stable rates is that it will rise above 6%. Given their inflation forecast is a little above target two-three years ahead on market rates and below it on stable rates, one might deduce the committee's preferred rate path is between the two, though perhaps closer to market rates than stable rates. This implies that a rate path that would return inflation to target two-three years ahead would lift the jobless rate to 5%-6%.

The MPC's projections for rising unemployment in 2024-2026 have been fairly consistent since early 2023, although they show smaller rises than the forecasts made in 2022, when energy prices were very high. As BoE Deputy Governor Ben Broadbent recently argued "So, there's no doubt that the rise in unemployment that might be necessary to stabilize inflation is probably lower than it was. I can't guarantee there's none."

We suspect that this view is overly pessimistic and that a sustained return in the UK of inflation to target and pay growth to a target-consistent pace is feasible and indeed likely without such a big and sustained rise in unemployment.

Certainly, second round effects from the inflation surge – especially on pay – have been relatively large in the UK. The tightness of the labour market (measured by the vacancy rate versus its 2019 average) was about as extreme as in the US, while the boost to inflation from energy, food, and goods prices was similar to the large impact in the eurozone. As a result of these combined shocks, the increases in inflation expectations, pay and services inflation in the UK in 2022-2023 were much greater than those in the US and eurozone.

Chart 7: Previous strength in job vacancies is fading, especially in US and UK



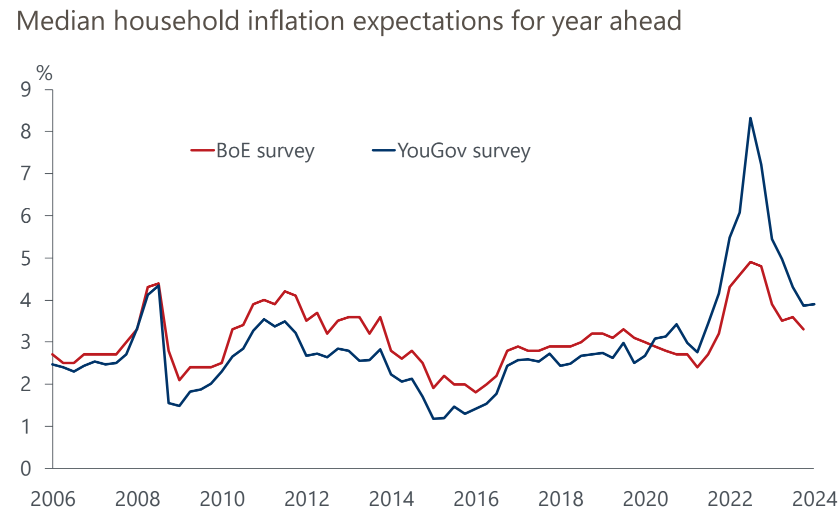
Sources: Oxford Economics/Haver Analytics

Still, the same factors that seem to have established a path to immaculate disinflation in the US and eurozone are also falling into place in the UK. The inflationary shocks from food, energy and traded goods prices are fading as rapidly as in the eurozone. As a result, headline and core inflation have both slowed markedly since mid-2023, and the six-month annualised rates of both measures are around a target-consistent pace.

Moreover, job vacancies and inflation expectations have fallen back significantly. We believe the BoE understate the extent to which these factors have fuelled recent strength in pay and prices, and hence understate the extent to which – like the US and eurozone – lower vacancies and lower inflation expectations are likely to dampen pay growth over time.

The BoE's analysis is based on its own survey measure of household inflation expectations which, for reasons that appear to be related to that survey's design, has shown a much lower path for inflation expectations in 2022-2023 than the YouGov/Citi survey.

Chart 8: The BoE survey suggests inflation expectations did not rise much in 2022-2023

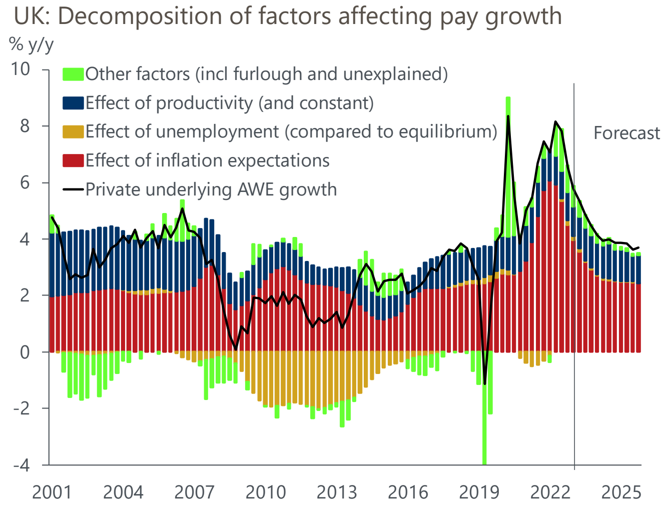


Sources: Oxford Economics/Haver Analytics

Hence, the BoE's view is that because inflation expectations did not rise much, they cannot have contributed much to the rise in pay growth. This implies that lower inflation expectations also might not dampen pay growth much.

By contrast, a model that uses the Citi/YouGov inflation expectations survey (along with the gap between unemployment and its equilibrium and trend productivity in a standard wage Phillips curve) suggests that inflation expectations played a big role in the high pay growth of 2022-2023. In turn, this implies that declining inflation expectations, including the further drop that is likely as headline inflation weakens in the next few months, will exert significant downward pressure on pay growth with the usual lag of two or three quarters, even with a roughly stable jobless rate.

Chart 9: Recent strength in pay growth has owed a lot to high inflation expectations

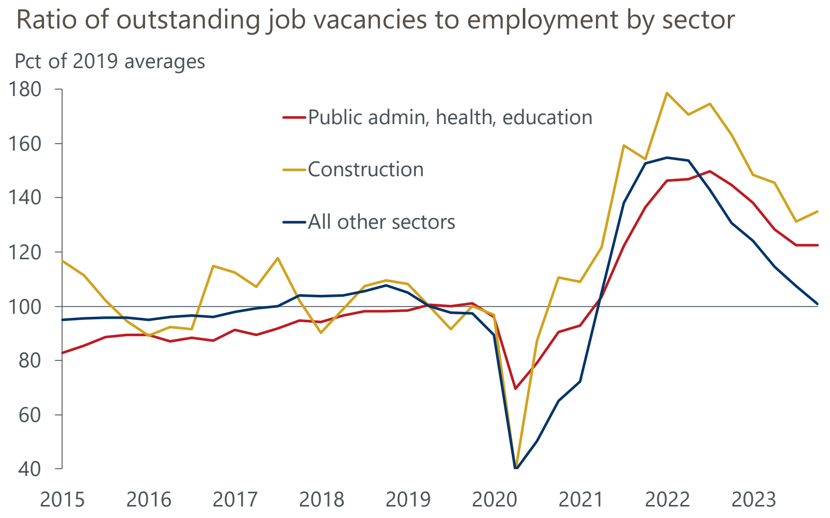


Sources: Oxford Economics/Haver Analytics

Moreover, as with the US, the UK probably has been on the more vertical part of the wage Phillips curve, with excess labour demand reflected in high vacancies and high pay growth rather than lower unemployment. At its peak in early 2022, the UK vacancy/employment ratio was about 60% above its 2019 average, like the US. Under such conditions, as with the US and eurozone, pay growth rises much more than would normally be expected given the jobless rate. In other words, the Phillips curve is indeed a curve – which steepens at a low jobless rate – rather than a line.

But in recent quarters, the UK labour market has cooled rapidly, and the vacancy/employment ratio has fallen more sharply than in either the US or eurozone. Indeed, excluding a few sectors that have faced persistent labour shortages (construction and those dominated by the public sector, notably public administration, defence, education, health, and social care), the aggregate vacancy rate in all other sectors combined now roughly matches the 2019 average. Given the government's tight spending plans, the high level of vacancies in public services is likely to lead to reduced output in those sectors rather than higher pay growth. The construction sector is also something of a special case, having faced ongoing labour shortages due to Brexit and Covid. These shortages may be eased by lower activity, consistent with recent weakness in construction orders and output, but are not really representative of the broad picture across other sectors.

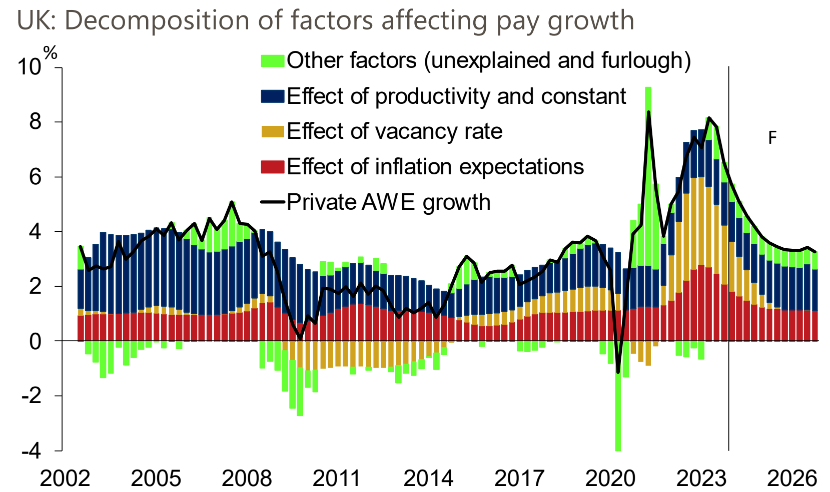
Chart 10: Outside a few sectors, the vacancy rate is roughly back to 2019 levels



Sources: Oxford Economics/Haver Analytics

Chart 11 shows a decomposition of pay growth based on an alternative model that measures labour market tightness by the vacancy rate (relative to its historical norm) rather than the unemployment rate, as well as inflation expectations and trend productivity. This model suggests that the high vacancy rate has contributed significantly to recent strength of pay growth, and is a slightly better fit than one based on the jobless rate.

Chart 11: Pay model based on vacancies points to a marked slowdown in pay growth



Source: Oxford Economics

The flipside of being on the more vertical parts of the wage Phillips curve is that, provided vacancies continue to fall back, pay growth should – like the US and eurozone – slow sharply even if unemployment is little changed. Our projection using this model assumes that the vacancy rate returns to its 2019 level over the next year, while inflation expectations respond as usual to headline inflation. In this scenario, pay growth falls back to a target-consistent pace of 3%-3.5% y/y next year and in 2026.

Admittedly, it is hard to disentangle the relative contributions to recent UK pay growth from high levels of job vacancies and inflation expectations, because the recent swings in both indicators have been far above the norms of recent decades. But our point is that the BoE may have understated the combined effect of these factors, rather than to definitively stress one over the other.

Immaculate disinflation in the UK looks more likely than not

The latest OE forecast implies that the UK probably will be able to achieve a sustained return of inflation to target this year and the next without the sizeable and persistent rise in unemployment indicated in either the BoE's market rate or stable rate forecasts. This view puts more weight on high inflation expectations and high vacancies rather than overly low unemployment as the main drivers of strong pay growth in 2022-2023. Hence, as expectations and vacancies fall back, it shows a marked slowdown in pay growth.

We envisage a modest output gap (less than 1% of GDP) in 2024-2025, but amid low labour supply growth we don't expect this to lead to a major rise in unemployment. Of course, there are uncertainties. In particular, a more painful scenario would become more likely if the UK and other advanced economies face one or more new supply shocks, which trigger fresh upward pressures on inflation that extend to second-round effects on inflation expectations and pay growth. That is not in our base case, but remains a risk.

Moreover, there may continue to be uncertainties over the exact path of unemployment, given the shortcomings of the LFS data. But there are other useful guides to employment (e.g., ONS RTI employee data, claimant count) that can act as a cross-check on labour market conditions.

We don't rule out a modest rise in the jobless rate, perhaps to 4.25%-4.5% or so over the next year or two if, as seems likely, activity remains sluggish. But if such a rise in unemployment does occur, it would be an accidental side effect of the journey back to low inflation (which is chiefly based on declines in inflation expectations and vacancies), rather than an integral part of the process. And the resultant extra downward pressure on pay growth probably would allow the MPC to cut rates more rapidly, hence reducing risks that higher unemployment persists. Either outcome – stable unemployment or a modest temporary rise – would involve a notably more benign disinflation process than the MPC projects.